



Chapter 03

Introduction to Business

Business Ownership



Learning Goals

After studying this lesson, students will be able to know:

- Different forms of Business Ownership and identify the distinguishing characteristics of each form.
- Describe the major advantages and disadvantages of each form of Business and factors to be considered in selecting specific forms.
- Steps to develop business organization that must be conducted.

Meaning of business organization

- Business organization is an act of grouping activities into effective co-operation for specific objective.
- It is primarily concerned with the creation and distribution of utilities for earning profit.
- There are several ways that a business can be organized to define its structure

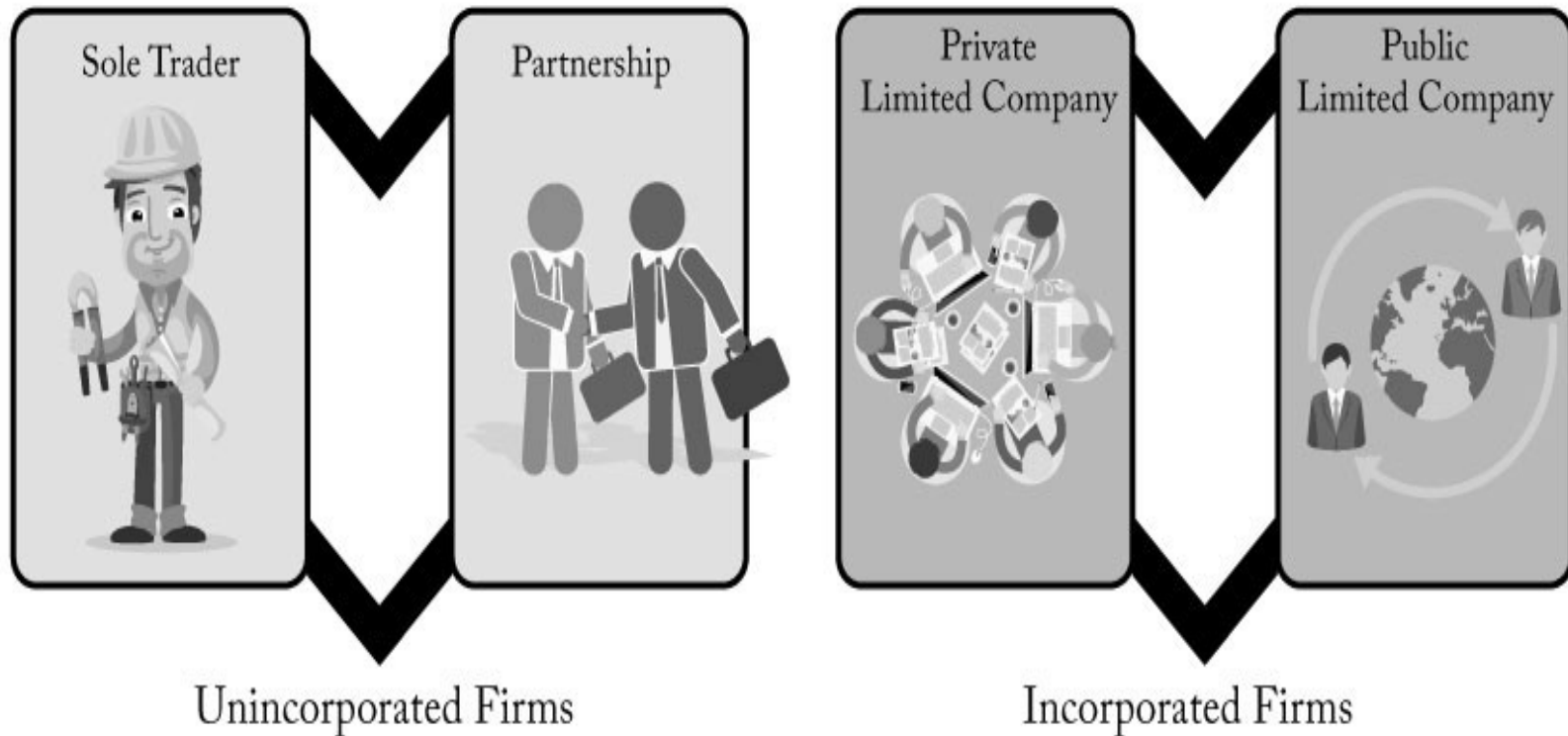
Features of a business organization

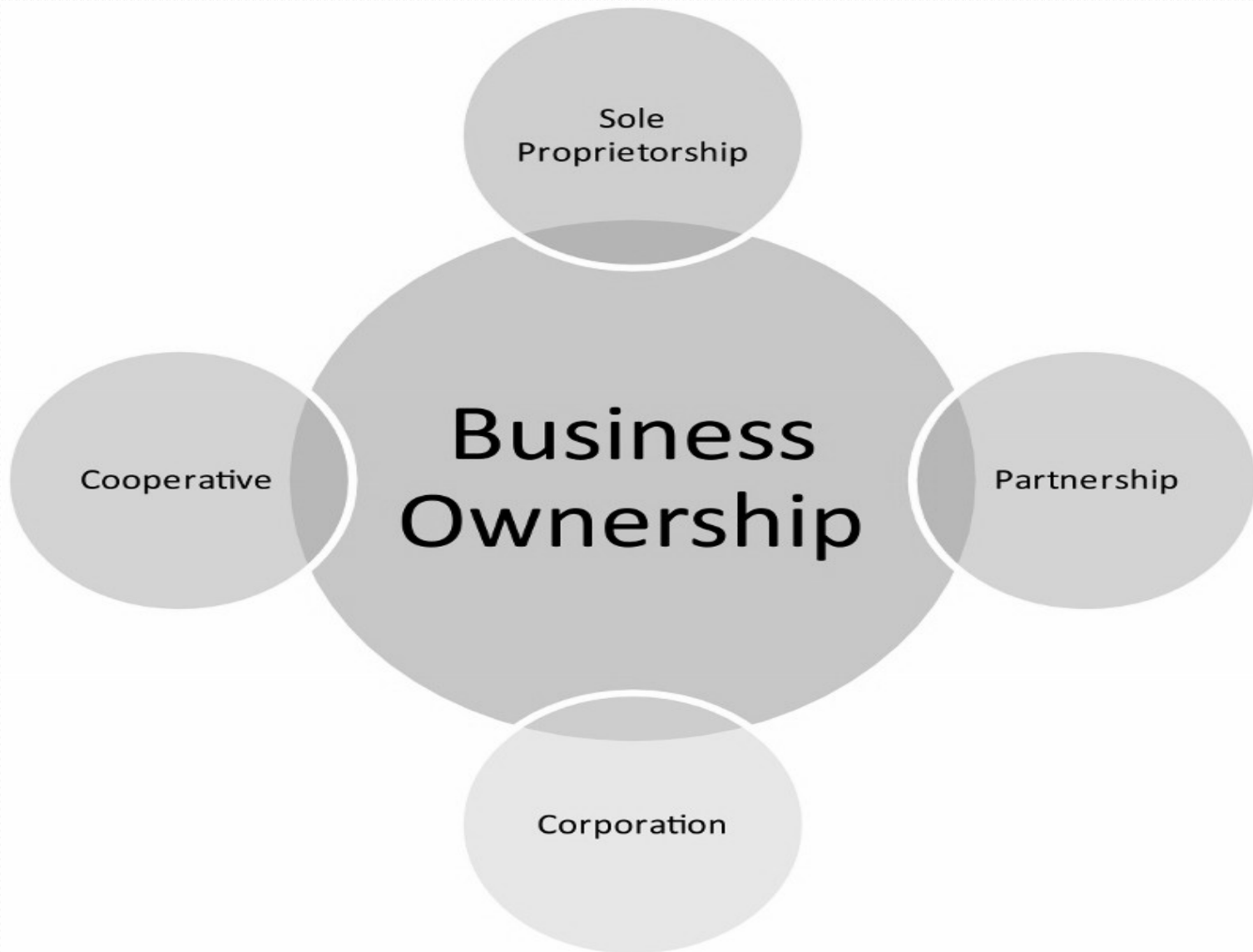
- Collection of different elements and allocate duties
- Coordinate the factors of production
- It contains organizations' nature
- Widen scope
- It depends on business methods.

Nature of Business Organizations

- **Individual or Micro Business Organization:** It includes all sole tradership and direct service related business because their appeal and scope of operations are very limited.
- **Universal or Macro Business Organization:** On the other hand Partnership, Joint Stock Limited Company, State owned enterprises and Cooperative Business are universal in nature. They derive from legal aspect and collectively managed.

Forms and structures of Business ownership





Different forms of business ownership

- Sole Proprietorship
- Partnership
- Company
- Cooperative
- State Enterprise
- Joint Venture
- Business Combination
- Global business
- Franchise
- Trust
- Licensing



**“Decide what you want
your life to look like,
and then decide
what vehicle
is going to get
you there.”**

Different forms of business ownership

- **Sole Proprietorship:** A sole trader ship business is profit owned and operated by an individual acting as the sole owner.
- It can be formed anywhere with an optimum capital. It's easy in those firm where prompt action, nondurable product i.e.; agriculture, secrecy can be maintained.
- For small firm sole trader ship is suitable. Example: Parlor, Saloon, Grocery shop etc.

Different forms of business ownership

- **Partnership Business Organization:**
- A general partnership is an association of two or more persons to carry on a business for profit as co-owners and is characterized by a community of interest in a particular business and a sharing of profits.
- Partnership business is suitable where larger capital, a number of employees, efficient innovative entrepreneurs required than sole trader ship.
- Partnership is suitable for export import business, wholesale, super mall (retailer).

Different forms of business ownership

- **Company Organization:**
- Company required more capital, more risk, a number of director than partnership business.
- A company formed and registered under company act or purchase an existing company to earn profit.
- Company is suitable for mass production, set up an industry, factory & distribution business.

Private vs. Public limited company

Features	Public Limited Company	Private Limited Company
Minimum members	7	2
Minimum directors	3	2
Maximum members	Unlimited	200
Minimum capital	5,00,000	1,00,000
Invitation to public	Yes	No
Issue of prospectus	Yes	No
Quorum at AGM	5 members	2 members
Certificate for commencement of business	Yes	No
Term used at the end of name	Limited	Private limited
Managerial remuneration	No restriction	Can not exceed more than 11% of net profits
Statutory meeting (mandatory)	Yes	No

Different forms of business ownership

- **Cooperative Business:**
- Cooperative is an association of individual to secure a common economic goal by honest means.
- Concentration of wealth in few hands, exploitation of workers by giant enterprises and their owners etc. gave augment to sense of cooperative.
- “Unity is strength” that is mutual assistance among poor of weaker class- this imprisonment gave rise to the growth & development of cooperative society.

Different forms of business ownership

- **State Enterprise:**
- State enterprise is the operation of commercial or industrial undertaking by the state.
- A number of factors like, some sensitive products and services, reduction ethnic & regional disparity, the desire of political party in power of control economic, reduction of rural urban imbalances, providing more basic services as **water, power, communication** etc. are seen as socio-economic factors that give rise to establishment, of state enterprise.
- For instance, weapon, utility services, etc.

Different forms of business ownership

Joint venture

- A joint venture is a business agreement in which parties agree to develop for a finite time, a new entity and new assets by contributing equity.
- They exercise control over the enterprise and consequently share revenues, expenses, and assets.
- Soudi-Bangladesh textile mills ltd
- Apex corporation ltd.

Different forms of business ownership

Combination

- Combination refers to the mergers and acquisitions of many smaller companies into much larger ones.
- A consolidation of two corporations
- In Bangladesh, BSRS and BSB formed new business organization named Bangladesh development bank (BDB).
- Merger between Robi Axiata and Airtel Bangladesh

Different forms of business ownership

- **Global business**
- It refers to all those business activities which involve cross border transactions of goods, services, resources between two or more nations.

Different forms of business ownership

- **Franchise**

- A franchise is a right granted to an individual or group to market of company's goods or services within a certain territory or location.
- McDonald, Subway, Pizza hat.

Different forms of business ownership

● **Trust**

- A trust is an obligation occupied to the ownership of property, and arising out of a confidence reposed in and accepted by the owner, or declared and accepted by him , for the benefit of another , or the owner.
- WBB trust (work for a better Bangladesh)
- Islamic trust Bangladesh limited
- Trust marine services
- Asian global sourcing ltd.

Different forms of business ownership

- **Licensing**

- A company sells licenses to other companies to use intellectual property (IP) , brand, design, or business programs.
- The licensing company may exercise control over how its IP is used but does not control the business operations of the licensee.

Merits and demerits of each form of ownership

SL	Business type	Key advantages	Key disadvantages	Liability
1	Sole proprietorship	Simple to set up	Limited growth	High
2	Partnership	Relatively simple creation	No limited liability, must have general partner	High
3	Public limited company	Legal formality, indefinite life time, superior entity	Few owners cannot directly control management	Limited
4	Private limited company	Well established law	Shareholders limitations	Limited
5	State enterprise	Set rules and regulations	Blending social and profit objectives	Limited
6	Cooperative	Secure credit at cheap rate	Conflict among members	limited

Factors influencing to Choice a Form of Business Organization

- **The nature of business:**
 - Businesses providing direct services like tailors, restaurants and professional services like doctors, lawyers are generally organized as proprietary concerns.
 - While, businesses requiring pooling of skills and funds like accounting firms are better organized as partnerships.
 - Manufacturing organizations of large size are more commonly set up as private and public companies.

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- **Size of operations:**
- The volume of business (large, medium, small) and size of the market area (local, national, international) served is the key factors.
- Large scale enterprises catering to national and international markets can be organized more successfully as private or public companies.
- Small and medium scale firms are generally set up as partnerships and sole-proprietorship.
- Similarly, where the area of operations is wide spread (national or international), company ownership is appropriate.
- But if the area of operations is confined to a particular locality, partnership or proprietorship will be a more suitable choice.

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- **The level of control:**
- A person, who desires direct control of business, prefers proprietorship, because a company involves separation of ownership and management.

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- **Amount of capital:**
- It is key factor of business and required for the establishment and operation of a business.
- A partnership may be converted into a company when it grows beyond the capacity and resources of a few persons.

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- **The volume of risks:** **Risks** and liabilities as well as the mentality of the owners to bear risk, is also an important consideration.
- **Comparative tax liability:** Comparative tax liability, assessment and returns of Business.

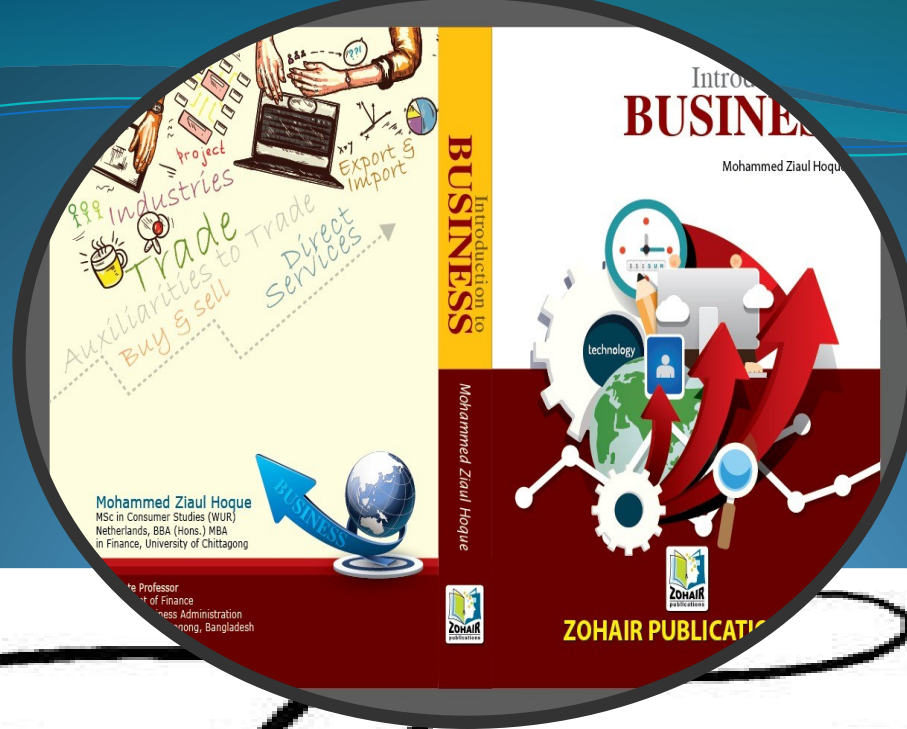
Conclusion

- We have several ways that a business can be organized to define its structure. The main types of business organizations in the Bangladesh are sole proprietorship, corporations, partnerships and limited-liability companies, Cooperative, and state owned enterprises.
- But someone must be ambitious to build a form of business!



IF YOU DON'T
BUILD YOUR DREAM
SOMEONE ELSE
WILL HIRE YOU TO

BUILD THEIRS



Thank
you

Question?